

IN THE HIGH COURT OF KERALA AT ERNAKULAM

PRESENT :

THE HONOURABLE MR. JUSTICE K.PADMANABHAN NAIR

MONDAY, THE 9TH JULY 2007 / 18TH ASHADHA 1929

FAO.No. 219 of 2006()

OP(ELE.) 109/2005 of DISTRICT COURT, MANJERI

APPELLANT/IST RESPONDENT

**P.P.ARSHAD, S/O.BAVUTTY,
PAZHAYA PUTHENVEETIL HOUSE,
PACHATTIRI AMSOM, PARAVANNA DESOM,
TIRUR TALUK, MALAPPURAM DISTRICT.**

BY ADV. SRI.T.KRISHNAN UNNI

RESPONDENTS: PETITIONER/2ND RESPONDENT

**1. NELLANCHERI MUSTHAFFA, S/O.BEERANKUTTY,
PACHATTIRI AMSOM, PARAVANNA DESOM,
TIRUR TALUK, MALAPPURAM DISTRICT.**

**2. KUNTHANI SURENDRAN,
S/O.APPU, VETOM AMSOM DESOM,
TIRUR TALUK, MALAPPURAM DISTRICT.**

BY ADV. SRI.V.G.ARUN

**THIS FIRST APPEAL FROM ORDERS HAVING BEEN FINALLY HEARD
ON 09/07/2007 ALONG WITH CRP NO. 997 OF 2006 THE COURT
ON THE SAME DAY DELIVERED THE FOLLOWING:**

K.PADMANABHAN NAIR, J.

F.A.O No.219 of 2006

&

C.R.P No. 997 of 2006

Dated this the 9th day of July 2007

JUDGMENT

1. The First Appeal from Order is filed by the respondent in O.P (Election) No. 109/2005 on the file of the District Court Manjeri C.R.P 997/2006 is filed by the petitioner in the above said original petition. The F.A.O is filed by the returned candidate challenging the judgment of the court below declaring his election from Ward No. 14 (Paravanna Division) of Tirur Block Panchayath was void. The C.R.P is filed by the petitioner against that part of the order of the court below by which it was held that debt due to Kerala State Financial Enterprise is not a debt due to Government within the meaning of Section 34 (1) (j) of the Kerala Panchayath Raj Act (Act for short) and hence a candidate who is in arrears to K.S.F.E. and fails to discharge the debt even after the expiry of the period specified in a bill or notice served on him is not disqualified for being chosen as and for being a member of Panchayath

2. The parties are referred to as arrayed in the Original Petition. The petitioner and respondents were candidates for the election to local bodies held on 26-9-2005. They contested from ward No.14 (Paravanna Division) of Tirur Block Panchayath. The 1st respondent was declared elected. The petitioner filed O.P(Election) 109/2005 for a

declaration that the election of the 1st respondent was void. It was averred that the 1st respondent was disqualified for being chosen as and for being member of the Panchayath. In paragraph 2 of the Original petition it was averred that the 1st respondent was a subscriber to a chitty conducted by the Kerala State Financial Enterprises.(K.S.F.E. for short) He bid the chitty and received Rs. 1,34,322/- It was further averred that he committed default in payment of the future subscription from 15-8-1998 and K.S.F.E. had issued a demand notice claiming arrears with 12% interest from 15-8-1998 to the 1st respondent. He did not repay the amount within the time limit despite the receipt of the demand notice, and hence disqualified to contest for election. It was further averred that the 1st respondent filed nomination suppressing those facts and contested for the election held on 26-9-2005 This fact came to the notice of the respondent only a few days prior to the filing of the petition. It was averred that 1st respondent suppressed material facts and hence his election to Block Panchayath is to be declared void.

3. Along with the original petition the petitioner filed an affidavit. In the affidavit also it was averred that 1st respondent suppressed the material facts that he was a defaulter to the K.S.F.E and he filed nomination paper suppressing that fact .

4. The 1st respondent filed a counter contending that the election petition is not maintainable. It was contended that necessary parties for the election petition were not made parties. The returning officer was not made a party. Affidavit filed along with the petition was defective. It was contended that the affidavit filed along with O.P by the petitioner was an incomplete one and as such the 1st respondent not in a position to file his objections. The contention that the 1st respondent suppressed material facts and he was a defaulter to K.S.F.E was denied. It was specifically contended that there was no specific allegation as to how the 1st respondent was disqualified to contest election. It was contended that a reading of the Original Petition gives an impression that the petitioner intends to raise a ground that 1st respondent was disqualified under Section 34 (i) (j) of the Act. It was contended that K.S.F.E is a separate entity and a public limited company. It is not Government. It was contended that even accepting the contention that the amounts were due to K.S.F.E, the same was not a disqualification to contest for election. The averment that the 1st respondent was a defaulter was denied. It was contended that the petitioner was fully aware of the fact that the appellant was a qualified candidate. Hence he prayed for the dismissal of the original petition.

5. Petitioner gave oral evidence as PW1 Ext.X1 to X3 were proved and marked. The appellant did not adduce any evidence. The learned

District Judge found that the arrears due to the K.S.F.E is not an amount due to Government or Panchayath and a defaulter to K.S.F.E is not disqualified for being chosen as and for being a member of a Panchayath under Section 34 (i) (j) of the Act. It was found that 1st respondent did not disclose the fact that amounts were due from him to the K.S.F.E in the details to be furnished in Form No.2A prescribed under Rule 6 (2a) of the Kerala Panchayath Raj (Conduct of Election) Rules 1995 (Rules for short) filed along with the nomination paper and hence he cannot be deemed to be qualified to be elected to fill the post of member of Block Panchayath as provided under Section 52 (1A) of the Act. It was further held that the details furnished by the 1st respondent were fake. His election was declared void under Section 102 (1) (ca) of the Act. The 1st respondent has filed First Appeal from Order challenging that part of the order by which his election was declared void. Challenging the finding of the Court below that 1st respondent was not disqualified for being chosen and for being a member of Panchayath as provided under Section 34 (1) (j) of the Act the petitioner in the election petition has filed the Civil Revision Petition.

6. The following points arising for consideration in these proceedings.

(i) whether the finding of the trial court that a person who is a defaulter to the Kerala State Financial Enterprises is not disqualified to contest election as arrears due to K.S.F.E. is not arrears due to Government or Panchayath

within the mischief of Section 34 1 (j) of the Panchyath Raj Act is correct.?

(ii) Whether the finding of the court below that the details furnished by 1st respondent along with the nomination were fake and hence his election is to be declared as void is correct?

. Point Nos. in the Civil Revision Petition

7. Ext. X1 is the File No. 542/1999 of K.S.F.E. Thrissur which contains 137 pages. The petitioner had produced a demand notice issued by the K.S.F.E. to the 1st respondent demanding an amount of Rs.1,47,125/- Ext.X1 reveals that the following facts the 1st respondent was a subscriber to a chitty conducted by K.S.F.E. He bid the chitty and received the amount executing a bond. He also availed a loan against the said kuri. The 1st respondent had agreed to repay the amount, in instalments. He committed default in payment of the instalments from 15-8-1998. Since he refused to repay the amount inspite of repeated requests proceedings under Revenue Recovery Act was initiated against the 1st respondent. The Special Thasildar (Revenue Recovery) issued a demand notice under Section 7 of the Revenue Recovery Act asking him to pay an amount of Rs. 1,47,125 with 12% interest from 15-9-1998, immediately. The 1st respondent receiver the demand notice on 25-9-1999. In spite of receipt of the demand notice on 25-9-1999, the 1st respondent did not pay the amount. Hence the respondent was in arrears to the tune of

Rs.1,47,125/- to K.S.F.E. The 1st respondent filed W.P.(C) 5365/2004 before this Court. This Court disposed of the writ petition holding that in case the 1st respondent remits a sum of Rs. 30,000/- within one month and makes an application for some instalment facility before the Branch Manager of K.S.F.E. within two weeks, further proceedings pursuant to attachment notice issued to him will be deferred till a decision was taken and communicated to him. 1st respondent neither deposited Rs.30,000/- nor filed any application. The amount due to K.S.F.E. as on 25-3-2004 was Rs. 2.01,008/- 1st respondent had not paid any amount thereafter. For the reasons best known to the Tahsildar (Revenue Recovery) and the officials of K.S.F.E no further action to recover the arrears Hence he was a defaulter to K.S.F.E as on the date of filing of nomination, on the date of scrutiny and on the date of election. But that alone is not sufficient to hold that he was disqualified under Section 34 (i)(j) of the Act for being chosen as and for being a member of Panchayath. Section 34(1) (j) of the Act reads as follows.

34. Disqualification of candidates :- (1)A person shall be disqualified for being chosen as and for being a member of a Panchayat at any level if he-

- (a).....
- (b).....
- (c).....
- (d).....
- (e).....
- (f).....

(g).....
(h).....
(i).....

(j) is in arrears of any kind due by him to the Government or the Panchayat concerned (otherwise than in a fiduciary capacity) up to and inclusive of the previous year in respect of which a bill or notice has been duly served upon him and the time, if any, specified therein for payment has expired; or

(k).....
(kk).....

(l).....
(m).....
(n).....
(o).....
(p).....
(2).....

8. A reading of Section 34 (1) (j) makes it clear that all types of arrears will not come under the mischief of Section 34 1 (j) of the Act. It must be shown that the arrears are due either to Government or Panchayath. The petitioner had no case that any amount was due from the 1st respondent to the Panchayahth. The question arising for consideration is whether the 1st respondent who is in arrears to K.S.F.E. for which he had received a demand but failed to pay the sum within the time specified in that demand notice can be treated as a defaulter under Section 34 (i) (j) of the Act and disqualified to contest for the election to Panchayahth. It is not disputed that the K.S.F.E is a Government undertaking. But that does not mean arrears due to a Government Undertaking is a debt due to Government. It is true that the amounts due

to K.S.F.E. can be recovered by initiating recovery proceedings under the provisions of the Revenue Recovery Act. The mode of recovery is not the decisive factor. The provisions of R.R. Act are made applicable for recovery or debt due to various Government owned companies and undertakings. K.S.F.E. may be an instrumentality of state under Article 12 of the Constitution of India but it is not Government within the meaning of Section 34 (1) (j) of the Act.

9. The concepts Of 'State' and 'Government' may not signify much difference to a layman. But there is a vital and clear difference between Government and State. (See **Padmanabhan Nair Vs. KS.E.Board. 1987 (1) KLT 895**)

10. In **Pashupathy Nath Vs Nem Chandra (AIR 1984 SC 399)** it was held as follows:-

“ A state implies the existence of a community or group of people occupying a geographical area or territory in which they permanently reside possessing internal sovereignty and independence of foreign control and a political organisation or agency through which the collective will of the people is expressed and enforced. The last of the elements of a State referred to above is generally called as a Government.

In view of the legal position stated above the position is clear. 1st

respondent was defaulter to K.S.F.E. But K.S.F.E. is not Government so as to attract the mischief of section 34 (1) (j) of the Act.

11. The learned counsel appearing for the petitioner has relied on the decision reported in **Ramachandran Vs. Omanakuttan 2002 (3) KLT 603** wherein it was held that the amount due to the Agricultural Rural Development Bank is arrears due to the Government. Principles laid down in that decision can have no application to the facts of the case at hand. So the 1st respondent was not disqualified to contest the election as a member of Panchayath. I confirm the finding of the District Court on that point. So the Civil Revision is liable to be dismissed.

Point No.(ii)

12. The learned District Judge found that the appellant suppressed material facts in the details furnished in Form No.2A filed along with nomination paper and hence the details were fake. In view of that finding his election was declared void. Originally a candidate contesting for election to the Panchayath at any level need only to file the nomination paper. The Kerala Panchayath Raj (Fourth Amendment) Act 2005, Act 30 of 2005 was passed amending Sections 52 and 102 of the Act with effect from 28-8-2005. Section 52 (1A) was introduced in the parent Act. It reads as follows:-

52. Presentation of nomination paper and requirements for a valid nomination

(1)

(1A) Every candidate submitting nomination under sub-section (1) shall not be deemed to be qualified to be elected to fill that post unless he submits, along with such nomination, the details regarding this educational qualification, criminal cases in which he is involved at the time of submission of nomination, property owned by him and other members of his families, liabilities including arrears due from him to any public sector undertaking or government or local self government institutions and whether disqualified for defection under the Kerala Local Authorities (prohibition of Defection) Act 1999 in the form and manner as may be prescribed)

13. So every candidate who files nomination paper is bound to give the details enumerated under Section 52 (1A) He shall not be deemed to be qualified to contest the election unless he furnish true and correct details also. He shall not conceal any material facts or give any false statement. Clause (ca) was introduced to Subsection (1) of Section 102 of the Act. It reads as follows:-

Sec.102. Grounds for declaring election to be void:- (1) Subject to the provisions of sub-section (2) if the Court is of opinion-

(a).....

(b).....

(c)

(ca) that the details furnished by the elected candidate under sub-

section (1A) of section 52 were fake or)

(d).....

(i).....

(ii).....

(iii).....

(iv) by any non- compliance with the provisions of this Act or of any rules or orders made thereunder, the Court shall declare that the election of the returned candidate to be void.

(2).....

14. Consequent to the amendment of Section 52 and 102 of the Act, Rules framed under the Kerala Panchayat Raj (Conduct of Election) Rules 1995 were also amended. Rule 6 was amended and new sub-rule 6(2a) was incorporated. It reads as follows:-

6. Nomination of Candidates

(1.).....

(2).....

(2a) Every candidate shall submit before the Returning Officer, the details in Form No.2A along with the nomination paper”

Existing Rule 9 was renumbered as Sub Rule 1 and Sub-Rule (2) as introduced. It reads as follows:-

9. Publication of list of nomination

(1).....

(2) Copy of the details submitted by the candidate under sub-rule (2a) of rule 6 shall be published along with the list of nomination papers published under sub-rule (1) and the copies thereof shall be issued to other candidates and media free of cost”

15. After Form No. 2 Form No.2A was added.

The following are the material portions of Form No.2A

Form 2 A

Election to the.....*VillagePanchayat/Block
Panchayat/DistrictPanchayatfrom.....ConstituencyNo.....

I..... son/daughter/wife of.....
aged..... residing at..... house, a candidate at the above
election, do hereby solemnly affirm and state on oath as under .

A. Details of movable assets.

(In the case of properties in joint ownership the extent of right of each one
shall be indicated)

B. Details of Immovable Assets

(in the case of properties in joint ownership the extent of right of each one
shall be indicated)

(3) I give herein below the details of my liabilities/ arrears due to Public
Sector Undertaking or Government or Local Self Government Institutions:-

- (4) My educational qualifications are as under:-
(Give details of School, University Education)
(Name of School, University and the year in which the course was completed should be given)

- (5) If disqualified for defection under the Kerala Local Authorities
(Prohibition of Defection) Act 1999, the details thereof

VERIFICATION

I, the deponent named..... do hereby verify and declare that the contents herein are true and correct to the best of my knowledge and belief; No part of it is false and nothing material has been concealed therefrom

Dated this the..... day of.....

Place.....

Signature of the candidate

16. Section 52 (2A) enjoins that every candidate who contest for election to any level of Panchayath is bound to furnish a true and correct details regarding the 5 matters enumerated in Form No.2A along with the nomination paper. Those details should be published along with nomination papers. The other candidates as well as media are also entitled to get copies of the details furnished in Form No.2A free of cost.

17. The Act was amended with a laudable object. It is intended to

maintain purity of election and to bring transparency to the process of election. Transparency of process of election would includes transparency of candidate who seeks election.

18. Sec 33 B was introduced in the Representation of People Act 1951 with effect from 2-5-2002 in compliance with the directions of Supreme Court in **Union of India Vs. Association for Democratic Reforms and another (2002(3) AIR SCW 2186)** It was held as follows:

In a democratic form of government, voters are of utmost importance. They have right to elect or re-elect on the basis of the antecedents and past performance of the candidate. He has choice of deciding whether holding of educational qualification or holding of property is relevant for electing or re-electing a person to be his representative. Voter has to decide whether he should cast vote in favour of a candidate who is involved in criminal case. For maintaining purity of elections and healthy democracy, voters are required to be educated and well informed about the contesting candidates. Such information would include assets held by the candidate.

It was also held that voter (little man citizen) has got fundamental right to know antecedent of candidate including criminal past of the candidate.

19. In **Peoples Union of Civil Liberties (PUCL) Vs. Union of India 2003 (3) AIR SCW 2353** it was held as follows:-

Right of a voter to know bio-data of a candidate is the

foundation of democracy. The old dictum-let the people have the truth and the freedom to discuss it and all will go well with the Government-should prevail.

20. The provisions in Section 52 (2A) of the Act is in parimeteria with the provisions of Section 33 of the Representation of Peoples Act.

21. The details in Form No.2A is to be filed in the form of an affidavit. The candidate has to affirm that no part of the same is false and nothing material has been concealed.

22. If any candidate fails to furnish any one of the details or furnish a detail which is false to his knowledge he is not qualified for chosen to fill a seat in a Panchayath in any level. It is not only furnishing a false detail which is false attract the disqualification and omission to furnish any one of the details will make the declaration a fake one. Ext.X2 is the nomination paper filed by the appellant. Ext.X3 is the details furnished by him in Form No.2A along with the nomination paper. The respondent suppressed the details of liability due from him to the K.S.F.E. which is a Government undertaking and hence a fake one. So he cannot be deemed to be qualified to contest the election, as enjoined under Section 52 (2A) of the Act.

23. Even though there is evidence to prove that the declaration filed by the respondent along with the nomination was fake that alone is not sufficient to grant such a relief to the petition in the Original petition. The

petitioner has got another hurdle to cross. I had already discussed about the averments in the original petition. A reading of the election petition shows that the one and only ground raised in the election petition is that the appellant was disqualified under Section 34 (i) (j) of the Act to contest the election. The omission to furnish the details under Section 52 (1A) is not a disqualification though such a person shall not be qualified to fill the post. There is clear distinction though very subtle, between disqualifications under Section 34 and not being qualified under Section 52 (2A) of the Act. There is total absence of averments to attract violation of Section 52 (2A) of the Act in the original petition. In the affidavit filed along with the Original Petition also, there is no averment to the effect that the 1st respondent concealed any material fact in Form No.2A and hence the details furnished by him under Section 52 A were fake. The petitioner gave oral evidence. He filed affidavit in lieu of the chief examination. There was no statement in the affidavit filed in lieu of the chief examination to the effect that 1st respondent concealed any material facts in the details. He was again orally examined in chief. Exts.X1 to X3 were marked. Even at that time the petitioner did not depose that the 1st respondent concealed any material fact in the details in Ext.X3. So there is absolute lack of pleadings on this point. The only piece of evidence available is Ext.X1 and Ext.X3.

24. It is trite law that the right to contest an election is not a

common law right ; but it was confined to the provisions of the Act and the Rules made thereunder.

25. In **Jyothi Basu Vs. Debi Ghosal (1982) 1 SCC 691** the supreme Court while considering similar provision in the Representation of Peoples Act, held as follows:-

“ Right to elect, to be elected or to dispute election are neither fundamental rights nor common law rights but are confined to the provisions of the Representation of the People Act and Rules made thereunder. Being statutory rights the remedies are limited to those provided by relevant statutory provisions.”

2. In **Rama Kanat Pandey Vs. Union of India (1993) 2 SCC 438** it was held that *“right to vote or to stand as a candidate and contest election are not fundamental civil right, but purely statutory right and, therefore, subject to statutory limitations.”* In **Jaipal Singh Vs. Sumitra Mahajan AIR 2004 SC 2066** the candidate was the member of an Indian Administrative Service having 40 years of service to his credit . He sought voluntary retirement to contest the Rajyasabha election. His nomination was rejected. He challenged the rejection in an election petition. That petition was dismissed. The apex court held that even though he had made every averments he failed to state in the election petition that on the date of scrutiny he was not holding an office of profit. It was held that, that was a material fact which the petitioner should have pleaded so that the returned candidate would not be taken by surprise.

27. In **AjayKumar Poeia Vs. Shyam and others AIR 2004 SC 1941** the returned candidate contested as a member of a scheduled Caste though he was not a member of Scheduled Caste. In the original petition it was averred that the returned candidate contested fraudulently in a seat which was reserved for scheduled caste. It was also averred that he filed nomination paper describing him as a Scheduled Caste. He adduced evidence also on that aspect. But he failed to raise a plea that the returned candidate was not a member of Scheduled Caste but all other averments to show that the returned candidate was not a member of the scheduled caste were made. The Apex Court held that though the averments in the paragraphs containing grounds regarding improper acceptance of nomination papers filed by respondent on ground that he was not member of Scheduled Caste cannot be treated to be a statement containing requisite material facts, which, if proved, would entitle petitioner reliefs sought for and dismissed the Election petition.

28. In **Shushil Kumar Vs. Rakesh Kumar 2003 SCC 673** the apex court held that pleadings in an election petition must be construed strictly. It was held as follows:-

“The pleadings in an election petition must likewise be construed strictly. The provisions of the Code of Civil Procedure apply to an election petition. The election petition is not an action at law or a suit in equity. It is a special proceedings and even withdrawal of an election petition may not be permitted.”

The principles discussed above applies to an election petition filed under the Kerala Panchayath Raj Act also.

29 In this case there is no averments in the original petition or in the affidavit that 1st respondent concealed any material fact in Form No. 2 A filed along with the nomination paper. Oral evidence was not adduced. So the petitioner is not entitled to get a relief of declaration under Section 102 (1) (ca). The judgment of the Court below is liable to be set aside and the F.A.O is liable to be allowed.

30. In the result the F.A.O and C.R.P are disposed of in the following manner.

F.A.O 219/2006 filed by the returned candidate is allowed. The judgment passed by the District Court declaring election of 1st respondent/appellant as void is hereby set aside. The election petition is dismissed.

The C.R.P No. 997/2006 is dismissed. Parties to suffer their cost throughout.

31. Communicate a copy of this judgment to the Election Commissioner as well as to the President of the Panchayath for necessary action.

32. The officer shall re-transmit the records forthwith a direction to the court below to return the file produced by Special Tahsildar (Revenue

Recovery) to him after keeping certified true photocopies of the necessary documents so as to enable the K.S.F.E to continue with the recovery proceedings. Forward a copy of this judgment to K.S.F.E. with the direction to take back the file forthwith as the same is essential for proceeding against the 1st respondent.

K.PADMANABHAN NAIR,JUDGE

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